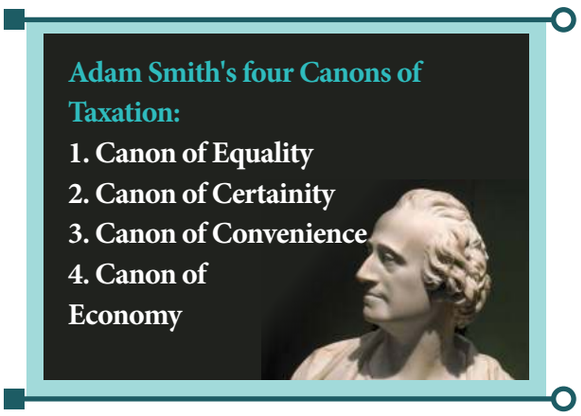
Why are Taxes Imposed?



Everybody is obliged by law to pay taxes. Total Tax money goes to government exchequer. The government decides how are taxes to be spent and how the budget is to be organized. Tax payment is not optional. An individual has to pay tax if any income comes under the income tax slab. It is a duty of every citizen to pay taxes. More collection of tax allows the government to implement more and more welfare schemes.

Principle of taxation

Adam Smith's principles or cannons of taxation still form the basis of the tax structure of a modern state:



1. Canon of Equality: the government should impose taxes in such a way that people have to pay according to their ability. It does not mean equal amount of tax but it means that the burden of a tax must be fair and just.

2. Canon of Certainty: Certainty creates confidence in the taxpayers cost of collection of taxes and increases economic welfare because it tends to avoid all economic waste.

3. Canon of Convenience: Taxes should be levied and collected in such a manner that it provides a maximum of convenience to the taxpayers. It should always be kept in view that the taxpayers suffer the least inconvenience in payment of the tax.

4. Canon of Economy : Minimum possible money should be spent in the collection of taxes. Collected amount should be deposited in the Government treasury.

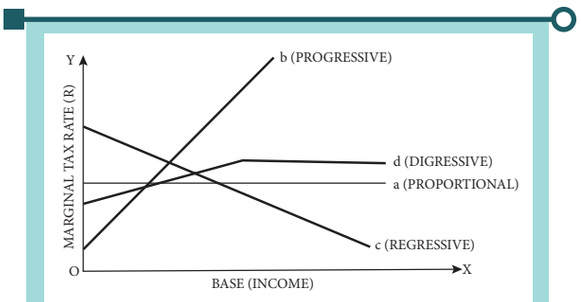
Taxation Types

There are three types of Taxation:

1. Proportional Tax

2. Progressive Tax

3. Regressive Tax and



Taxation Types

Proportional Taxation is a method, where the rate of tax is same regardless the size of the income. The tax amount realized will vary in the same proportion as that of income.

If tax rate is 5% on income and Mr. X gets an income of Rs.1,000, he will pay Rs.50, Mr. B gets an income Rs.5,000, he will pay tax of Rs.250. In short, proportional tax leaves the relative financial status of taxed persons unchanged.

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